State Capacity in Times of Crisis:

IMF Conditionality and Economic Reform

Daheon Rhee

Yonsei University

Abstract

When does IMF conditionality translate into economic reform? Existing scholarship emphasizes government ownership and domestic political structures—partisanship, veto players, regime type—yet largely neglects the bureaucratic and administrative capacity required to actually execute painful structural adjustments. This study argues that state capacity is the critical moderator between IMF conditionality and reform outcomes, and that its effect is conditioned by regime type. Drawing on a panel of 68 countries under IMF programs from 1980 to 2014, I find that binding conditionality produces significant reform progress only in democracies with high state capacity, while the conditionality-capacity interaction yields no significant effect in autocratic regimes. These results are robust across two-way fixed effects and multilevel specifications, and are corroborated by sectoral analysis and comparative case evidence from South Korea and Greece. These findings advance the literature by shifting the analytical focus from domestic political structures to inherent state capacity, offering an explanation of conditionality compliance that travels across regime types and regions.

Keywords: IMF conditionality; state capacity; economic reform; regime type; structural adjustment; comparative political economy

Introduction

Does International Monetary Fund (IMF) conditionality transform the economic structures of states in times of crisis? When does stricter IMF conditionality successfully drive a borrowing country's neoliberal economic reform? When countries face balance-of-payments crises, the IMF extends financial assistance accompanied by neoliberal conditionality, prescribing structural reforms designed to liberalize economies distorted by decades of state intervention. Understanding the determinants of such structural reform matters considerably, as liberalization of economic structure is widely associated with improved business climates, greater openness to foreign direct investment, and enhanced productivity through competition (Apeti and Gomado 2023; Konte, Kouamé, and Mensah 2022; Prati, Onorato, and Papageorgiou 2013).

Cross-national studies examining the progress of economic reforms in IMF program present conflicting conclusions regarding the relation between IMF intervention and a borrowing country's liberalization reforms. Some scholars find that IMF intervention tends to delay rather than accelerate market liberalization (Boockmann and Dreher 2003; Dreher and Rupprecht 2007), while others demonstrate that the effects are domain-specific to Latin America region: IMF loans may promote trade and capital account reforms while simultaneously reducing privatization (Kingstone and Young 2009; Biglaiser and DeRouen Jr 2011). Further reducing the scope, Demir (2022) finds no robust effect of IMF programs on export structure, economic complexity, or the technology intensity of exports, suggesting that conditionality may leave deeper structural transformation largely untouched. More recent evidence from developing countries, however, points toward a positive role, with Apeti and Gomado (2023) showing that IMF conditionality not only promotes structural reforms in borrowing countries but also generates spillover effects on trading partners.

Due to these conflicting findings, a substantial body of scholarship examines conditional factors that mediate the relationship between IMF program participation and economic reform outcomes. One strand focuses on government willingness to reform, conceptualized as program "ownership." When such ownership exists, a government can strategically deploy IMF conditionality as a scapegoat mechanism to neutralize opposition from domestic interest groups, thereby enhancing its own bargaining leverage in the reform process (Vreeland 2003). A second strand examines the domestic political structures that constrain a government's capacity to reform, independent of its subjective willingness. Dreher (2003) demonstrates that political variables such as electoral cycles and democratic institutions are systematically associated with conditionality compliance. Focusing on partisan

composition, Beazer and Woo (2016) show that the effect of IMF programs on reform implementation is conditionally moderated by government partisanship.

While existing studies attend to government willingness and the political structures that constrain reform, they overlook the inherent institutional and bureaucratic capacity required to actually execute reform. This study foregrounds state capacity, drawing on the new statism stradition, defined as the ability to implement official goals especially over the actual or potential opposition of powerful social groups (Skocpol 1985, 9), as the important mediating factor between IMF conditionality and reform outcomes. The emphasis on state capacity is theoretically motivated by the nature of IMF-mandated reforms themselves. Neoliberal measures—financial market liberalization, privatization, labor market flexibilization, and fiscal austerity—impose severe distributional costs on organized capital and labor alike, generating powerful resistance from below. Translating conditionality into actual policy change therefore demands more than political will; it requires the bureaucratic and administrative capacity to intervene in, coordinate among, and extract compromises from competing social forces. This capacity becomes all the more decisive in the context of economic crisis, precisely the setting this study examines. Crisis conditions amplify social conflict and political instability, while constrained fiscal resources and elevated inflation render implementation technically demanding. Under such conditions, willingness and domestic political structure alone are insufficient to actually implement the reforms; what matters is the inherent institutional capacity to overcome resistance and sustain reform momentum in an adverse environment. While the importance of administrative capacity for economic adjustment was recognized by an earlier generation of scholars (Haggard and Kaufman 1989; Stallings 1992; Haggard and Kaufman 1992) the question has not tested empirically and since receded from the literature—displaced by a focus on political structure and program ownership. This study addresses that gap directly. This paper provides the first systematic empirical test of whether state capacity conditions the translation of IMF conditionality into economic reform outcomes.

Strong state capacity operates through three distinct mechanisms. First, it enables a government to overcome resistance from capital and labor by executing policy. Second, it facilitates coordination among competing interest groups, reducing the costs of inter-group conflict through negotiation and compromise. Third, it enhances implementation efficiency, lowering the administrative costs of reform and ensuring that formally adopted policies are carried through to completion. Nevertheless, political institutions shape the political process and government preferences in ways that should be

considered. This study therefore argues that the effect of state capacity on reform implementation is conditioned by regime type, and proceeds by distinguishing analytically between democratic and autocratic contexts. By examining state capacity in conjunction with regime type, the study aims to provide a unified explanation of reform outcomes across both democratic and authoritarian countries under IMF programs.

Drawing on a cross-national panel of 68 countries, restricted to country-years under IMF programs (imfnn > 0) between 1980 and 2014, this study finds that state capacity is a critical moderator of IMF conditionality compliance, but its effect is conditional on regime type. In democratic regimes, the interaction between binding conditionality and state capacity is positive and statistically significant, indicating that high-capacity democracies are substantially more effective at translating IMF structural conditions into reform progress. In autocratic regimes, by contrast, the same interaction is statistically indistinguishable from zero across all specifications, suggesting that capable authoritarian states resist reforms that threaten the rent-seeking structures sustaining their ruling coalitions. These findings hold across two-way fixed effects and multilevel model specifications, and are further corroborated by sectoral analysis and comparative case evidence from South Korea and Greece.

This study makes three contributions to the literature on IMF conditionality and economic reform. First, it shifts the analytical focus from government willingness and domestic political structures—such as partisanship, veto players, and program ownership—to the inherent bureaucratic and administrative capacity of the state. Second, by combining state capacity with regime type into a unified analytical framework, this study offers an explanation of IMF conditionality compliance that is not regionally or institutionally bounded. Drawing on a cross-national panel of 68 countries with IMF program experience spanning approximately three decades (1980--2014), it moves beyond the geographically and institutionally delimited samples from existing studies—Latin America (Biglaiser and DeRouen Jr 2011), developing countries (Apeti and Gomado 2023), or post-communist Eastern Europe (Beazer and Woo 2016). The present framework, by contrast, is applicable across democratic and autocratic regimes in all regions, providing a more generalizable theory of reform compliance. Third, the study highlights the joint importance of democratic legitimacy and state capacity for successful economic liberalization. High state capacity alone is insufficient; its effect on reform implementation is conditioned by the democratic political institutions through which social demands are aggregated and conflicts mediated.

Literature Review

The IMF Conditionality

How does a country in an economic crisis, with an economic structure incongruent with neoliberalism, transition into a neoliberal open economy when the The IMF prescribes neoloberal conditionality? This has been a critical question in assessing the impact of international organizations established to maintain the liberal economic order, such as the World Bank and the IMF. The IMF is a central institution of the Bretton Woods system, established in 1944 to maintain the postwar liberal international economic order. It was created to stabilize exchange rates and help member states manage temporary balance-of-payments difficulties (Cohn 2016).

However, as neoliberalism spread throughout the United Kingdom and the United States during 1980s, the IMF came to be characterized as a "missionary institution" (Stiglitz 2002, 13) proselytizing the free-market ideology. To advance its neoliberal objectives, the IMF employs the set of policy instruments known as the Washington Consensus. These instruments encompass fiscal discipline, reduction of public expenditure, tax reform, maintenance of competitive exchange rates, trade liberalization, promotion of foreign direct investment, competitive markets, and property rights protection (Williamson 1990). Yet when dealing with states in the grip of severe economic crisis, the IMF is by no means a benevolent preacher. Rather, as a lender of last resort, it performs the role of a physician who prescribes strict conditionality: through conditionality, the IMF compels economically distressed states to pursue structural reform toward a neoliberal economic order.

IMF conditionality refers to the specific economic policy reforms that borrowing states must agree to undertake as a condition of receiving loans (Cohn 2016). These conditions encompass monetary and fiscal policy adjustments aimed at improving the balance of payments and ensuring repayment capacity (Woods 2006). Specifically, IMF conditionality is classified into the following categories: prior actions (PAs), quantitative performance criteria (QPCs), indicative targets (ITs), structural benchmarks (SBs), and structural performance criteria (SPCs) (Kentikelenis and Stubbs 2023; Apeti and Gomado 2023). These conditions are imposed to promote liberalization, reduce public expenditure and inflation, and privatize state-owned enterprises (SOEs). The IMF employs varying levels of conditionality to change domestic economic structure of borrowing nation suffering from a severe economic crisis.

Economic Reforms

If IMF conditionality follows successful compliance, it should yield the anticipated structural economic reforms (Apeti and Gomado 2023). The structural reforms pursued through these conditionality programs are classified across five dimensions: trade, product markets, labor markets, financial markets, and capital markets (Alesina et al. 2024; Apeti and Gomado 2023). Economic liberalization is important for economic growth, because it fosters improved business climates, greater openness to foreign direct investment, and enhanced productivity through competition (Apeti and Gomado 2023; Konte, Kouamé, and Mensah 2022; Prati, Onorato, and Papageorgiou 2013).

However IMF conditionality imposes substantial economic and political costs on borrowing states, making it difficult to be implemented in times of crisis. Recognizing these difficulties, the extent to which a government can reform depends heavily on the structural political constraints of the recipient government. Previous literature identifies these constraint components as political regime types (Haggard and Kaufman 1989), the degree of domestic support and the number of veto players (Vreeland 2003), and government partisanship (Beazer and Woo 2016). Haggard and Kaufman (1989) contend that consultative democracies are more likely to implement reforms than plebiscitary democracies, and that strong authoritarian states have a higher potential for reform than weak ones.

However, their study remains limited in providing empirical evidence due to an overly broad definition and scope of economic reform. Cross-national comparative studies examining the success of economic reforms in IMF bailout recipients present conflicting conclusions regarding the effects of IMF intervention on a borrowing country's reforms Boockmann and Dreher (2003) and Dreher and Rupprecht (2007) argue that IMF intervention tends to delay rather than accelerate market liberalization reforms. Conversely, Biglaiser and DeRouen Jr (2011) and Kingstone and Young (2009) demonstrate that while IMF loans positively influenced trade and capital reforms in Latin America, they tended to decrease privatization reforms. With specifying the dependent variable in export structure, Demir (2022) suggests that IMF programs and conditionality requirements along a spectrum of policy areas had no robust or significant effect on export structure, economic complexity, export diversification, or the technology-and-skill intensity of exports. Focusing on only developing countries, Apeti and Gomado (2023) show that IMF conditionality programmes promote structural reforms and have sillover effects on trading partners.

Due to these conflicting results for the effects of IMF conditionality on economic reform, many studies have focused on the conditional factors surrounding IMF program participation and economic reform. Specifically, this line of research explores the conditional determinants of how IMF intervention impacts economic reform. Existing literature on the effect of conditionality underscores the domestic political structures that shape the political willingness to execute economic reforms, conceptualized as "ownership" of the IMF program. 'Ownership' is defined roughly as the extent to which a country is interested in pursuing reforms independently of any incentives provided by the IMF (Drazen 2002). Ownership is important because implementation is contrained by political obstacles; thus, breaking through resistance from social factors requires program ownership by the participant government. However, a recent study by Abouharb, Reinsberg, and Heinkelmann-Wild (2026) casts doubt on the micro-foundations of the scapegoating hypothesis, presenting experimental evidence from a survey conducted with Pakistani citizens suggesting that the scapegoating mechanism does not operate as theorized.

From other perspective, some studies have examined domestic political structures that constrain a government's structural ability to reform, rather than its subjective willingness. Dreher (2003) argues political variables, such as election and democratic institutions, are systematically related to compliance with conditionality. The power of veto players is also suggested. If there is opposition from domestic interest group, it can strategically utilize IMF conditionality as a scapegoat to neutralize opposition from domestic interest groups, thereby enhancing its own bargaining power (Vreeland 2003, 13). Focusing on domestic partisan structure, Beazer and Woo (2016) demonstrate that the effect of IMF programs on the implementation of economic reform is conditionally moderated by government partisanship, utlilizing data on post-communist IMF programs from 1994 to 2010. Since IMF conditions align closely with right-wing ideology, it is difficult for right-wing opposition parties to contest IMF reforms when they are pursued by a left-wing government. At the same time, the left-wing support coalition is unlikely to defect to the right simply because a left-wing government implements neoliberal reforms. Consequently, because left-wing governments can mobilize a broader pro-reform coalition, the likelihood of successful reform implementation is significantly higher.

While this is illustrative because it underscores the significance of domestic partisan structures, its empirical scope is limited to IMF programs across twenty-one post-communist countries in Eastern Europe and Eurasia, rendering it less applicable to autocratic regimes. Further, it cannot account for the Greek case of 2015, in which a far left-wing government was actively opposed to IMF reform.

The Coalition of the Radical Left (SYRIZA) came to power in Greece in January 2015, running on a platform of opposition to the structural adjustment program of the Troika—the European Union (EU), the European Central Bank (ECB), and the IMF—and pledging to end austerity and neoliberalism through negotiation on favorable terms(Park 2017). Moreover, such partisan logic is difficult to apply to presidential systems characterized by divided government. If the executive branch is controlled by the left while the legislative branch is dominated by the right, the logic is difficult to apply.

These existing studies have not focused on state capacity defined as the "ability to implement official goals, especially over the actual or potential opposition of powerful social groups (Skocpol 1985, 9)." Independent, rule-following bureaucratic apparatuses are vital for high state capacity (Knutsen 2013). Rather, under the assumption that the ability to reform is given to that country, previous research has examined the political structures that constrain the implementation of conditionality—such as regime type, partisanship, veto players—and the political willingness to reform, or ownership. However, even though a government has a willingness to reform, it cannot be accomplished when it lacks enough bureaucratic power and is countered by domestic opposition from capital and labor. Moreover, if the government policy orientation is not insulated from social forces—capital or labor—it cannot successfully implement economic reforms and might be biased toward relatively powerful forces. For instance, Indonesia government under President Suharto faced 1997 Asian Crisis, and was provided IMF loans with conditionalities. However, crony capitalism was the aggravating factor that triggered uncertainty in society, as shown in the case where the president's son reopened his bank branches under a different name by buying another bank for its banking license (Ito 2007).

This paper argues that state capacity is the critical factor that allows a state to implement economic reform because the state needs to overcome resistance from labor and capital, while regime type adjusts the willingness of the state to implement reforms that demand the separation of state and capital. Because economic reforms are painful to both capital and labor, not only domestic constraints such as partisanship and veto players, but also the inherent capacity to formulate goals while insulating the state from labor and capital and to implement reforms is crucial. Taking IMF intervention as a scope condition—thereby restricting the analytical population to states experiencing economic crisis—the study identifies state capacity as the key conditioning variable for the dependent variable of economic reform.

New Statism and State Capacity

This study argues that compliance with IMF conditionality is determined by a state's capacity to mediate conflicts between capital and labor during economic crises. In crisis conditions, state capacity is indispensable both for pursuing economic reform and for withstanding pressure from domestic social forces. The study adopts a New Statist perspective insofar as it foregrounds the state as the primary agent of reform. New Statism treats the state not as a mere product of social interests but as a central actor endowed with independent agency and institutional autonomy (Skocpol 1985). In this view, the state pursues competition and cooperation with other major power groups within the social formation; it is understood not as a simple reflection of class conflict and social interests but as a relatively autonomous entity that structures and coordinates those conflicts. Subsequent scholarship by Peter Evans, Stephan Haggard, Robert Kaufman, and others extended the New Statist perspective into comparative political economy, centering on developmental state theory. Within this tradition, the state is conceptualized as a strategic actor embedded in society that mediates or arbitrates among the competing interests of capital, labor, and diverse social groups.

In this perspective, I conceptualize states as a balancer seeking an equilibrium of power between social forces by employing policy instruments. While sufficient state capacity enables a state to reach equilibrium points, lack of it makes it fail, leading to social chaos and resistance. Both authoritarian capitalist and liberal democratic capitalist states are embedded in the relationship between the economic elite/capitalist class and the labor/mass class in terms of state-society relations, and therefore cannot implement policies coercively (Evans 1995). Given that the government inherently holds the maintenance and stability of its power as its primary objective, it acts as a balancer seeking an equilibrium of power between the economic elites and the masses.

Accordingly, the strong state can minimize the likelihood of collective action problems by treating social actors as cooperators rather than objects of control (Lee 2009). In other words, both authoritarian and democratic states have an incentive to pursue policies oriented toward a balance of power between capital and the public (although the relative position of this equilibrium point may vary by regime). In conclusion, the level of implementation of IMF conditionality varies according to the extent to which the regime secures the state capacity necessary to maintain a balance among social forces and carry this out through policy.

Defining and Measuring State Capacity

In this study, state capacity is defined and measured according to Hanson and Sigman's (2021) influential work. There are two conceptual problems when defining and measuring state capacity: the nature of the state's power and the dimensions (or scope) of state capacity.

Regarding the first problem—defining the nature of power—the core concept of state capacity rests upon Skocpol's (1985) and Mann's (1984) foundational definitions. Skocpol (1985, 9) defined state capacity as the "ability to implement official goals, especially over the actual or potential opposition of powerful social groups." Mann (1984) distinguishes the power of the state into *despotic power* and *infrastructural power*. Despotic power refers to the autonomy of power that can make decisions without routine, institutionalized negotiation with civil society groups (Mann 1984, 188). On the other hand, infrastructural power is defined as "the capacity of the state to actually penetrate civil society, and to implement logistically political decisions throughout the realm" (Mann 1984, 189). Infrastructural power is more relevant to the concept of modern state capacity than despotic power. Despotic power is excluded from the conceptualization of 'state capacity' because it is more deeply intertwined with political regime characteristics and state autonomy, which should be analytically separated from the concept of state capacity itself (Hanson and Sigman 2021, 1496).

Infrastructural power can be specifically understood through Soifer's (2008) identification of its analytical dimensions, which encompass the capabilities of the central state, its territorial reach, and the effects of the state on society. This formulation is derived from the relationships between three collective actors: central state leaders, radiating institutions of control, and society (Soifer 2008, 235). However, Hanson and Sigman (2021, 1496) argue that the measurement of state capacity should be undertaken strictly through the concepts of the state's material capabilities and its territoriality; this is because assessing state capacity based on the state's effects on society fails to easily disentangle a political decision to not deploy state power from its structural inability to do so. In sum, state capacity is closely related to Mann's (1984) infrastructural power, and it can be effectively approached through the state's internal material capabilities and its territorial reach.

The second problem concerns how much we should include as critical dimensions when evaluating state capacity. Hanson and Sigman (2021) define state capacity by including four core functions: protection from external threats (Tilly 1992), the maintenance of internal order, the administration and provision of basic infrastructure necessary to sustain economic activity (Mann 1984), and the extraction of resources (Tilly 1992). Under this framework, Hanson and Sigman (2021) concentrate on three dimensions of state capacity that are minimally necessary to encompass the

functions of contemporary states and are most conceptually distinct for identification. These are the extractive, coercive, and administrative aspects. Extractive capacity is a critical function for the state to maintain and reproduce its power. Coercive capacity is central to the Weberian tradition that defines the state as the organization possessing a monopoly on the legitimate use of force within its territory. Finally, administrative capacity pertains to the state's organizational capabilities with respect to implementing policy, regulation, monitoring, and coordination mechanisms (Hanson and Sigman 2021, 1498-1499).

State Capacity and the Implementation of Economic Reform

A fundamental political dilemma of economic reform is that while substantial gains may accrue to society as a whole, policy adjustment entails significant upfront costs and a reduction in rents for particular groups (Haggard and Kaufman 1992). When borrowing states confront IMF conditional lending programs, the implementation of economic reform is therefore dependent on the level of state capacity. Three theoretical mechanisms account for this causal link.

First, a government with high state capacity can successfully execute policies that sustain an IMF lending program and facilitate exit from crisis even in the face of strong resistance from social forces such as capital and labor, and can overcome that resistance through negotiation. Haggard and Kaufman (1989, 210) argue that no debtor government can avoid the costs of structural adjustment, and that all must therefore negotiate with domestic actors over how the costs of reform are to be distributed domestically. Since bargaining leverage derives from state capacity, governments with high state capacity are positioned to implement reform.

Second, high state capacity assists governments in coordinating conflicts among interest groups. As Drazen (2002) emphasizes, conflicts of interest among diverse social groups are a central factor in understanding conditionality compliance. In this context, states with high capacity are better positioned to facilitate compromise among social actors. Because IMF reforms impose burdens on both capital and labor, resolving the heterogeneity of preferences regarding economic structural adjustment is extremely difficult and requires high levels of autonomy and coordinating capacity. The state's perceived impartiality and institutional capacity for coordination are therefore indispensable for achieving social compromise.

Third, high state capacity contributes to lowering the costs of implementing economic reform programs. The state's administrative capacity helps fulfill in practice the criteria specified by the IMF, and an efficient bureaucracy minimizes administrative friction, thereby reducing the time and material

resources that governments must expend in the course of policy execution. Moreover, even when policy objectives are established and political consensus is forged through the legislative process, interest groups may attempt to alter the outcomes of economic reform through lobbying during the implementation phase (Woods 2006, 83). Given that high state capacity presupposes a necessary level of state autonomy, strong states are better insulated against attempts at policy capture by interest groups seeking to obstruct reform.

Regime Type and Willingness of Economic Reform

The effect of state capacity on conditionality compliance may vary depending on regime type. The neoliberal economic reforms demanded by the IMF presuppose a clear separation between state and market. In authoritarian states, such reforms may threaten regime survival. Authoritarian states (extractive political institutions) typically extract economic resources directly from the market in order to sustain their ruling coalitions (Robinson and Acemoglu 2012), and because IMF-mandated reforms prohibit these predatory practices, compliance becomes more difficult or the political will to comply is itself undermined. Democratic states (inclusive political institutions), by contrast, operate under the competitive influence of both capital and the general public under the principle of one person, one vote (Robinson and Acemoglu 2012). Capital tends to seek state subsidies and protection, inclining it toward close state-market ties and rent-seeking through the entanglement of state and market. The general public, on the other hand, tends to comparatively prefer the separation of state and capital, insofar as it seeks fair competition and market liberalization free from state intervention. Since the relative balance of power between capital and the public varies by regime type, democratic elites—whose political survival depends on the electorate—can be expected to be relatively more willing to accept neoliberal economic reform than their authoritarian counterparts. The Korean case is illustrative: during the authoritarian developmental state era under President Park Chung-hee in the 1960s and 1970s, capital was subordinated to strict state control, generating income inequality through uneven growth and wealth concentration. After the democratization of 1987, and continuing through the 2010s, the central political agenda shifted toward "economic democratization" and the separation of state and capital as a corrective to this structural inequality.

The existing literature presents conflicting views on the relationship between political institutions and economic reform. One perspective holds that in fully democratic systems the state is susceptible to capture by particular interest groups that has strong veto power, making reform difficult, while in authoritarian systems reform is comparatively easier to pursue through economic policy

instruments such as financial repression . An alternative view holds that the property rights protections guaranteed by democracy are a precondition for economic development and reform, and that authoritarian systems are prone to time inconsistency problems and extractive institutions oriented toward rent creation, which impede reform (Acemoglu and Robinson 2012; Giuliano , Mishra, and Spilimbergo 2013). Dollar and Svensson (2000, 902) find that democratically elevted governments have a higher probabilty of successfully implementing reforms. Giuliano, Mishra, and Spilimbergo (2013) provide empirical evidence that higher-quality democratic institutions increase the likelihood of economic reform adoption.

To systematically evaluate the interactive dynamics between IMF conditionality, state capacity, and regime type, this paper constructs a two-by-two theoretical framework as summarized in Table 1. The matrix yields distinct analytical predictions for each quadrant based on the state capacity and regime type of the borrowing state.

In democratic regimes, high state capacity maximizes reform effectiveness (as observed in South Korea) by allowing the government to utilize its democratic legitimacy to absorb social shocks, though this process remains subject to partisan veto players as pointed out from Beazer and Woo (2016). Conversely, infrastructurally weak democracies (such as Greece) face severe challenges; their lack of administrative insulation renders them highly vulnerable to public backlash, frequently leading to political fragmentation and reform failure. Moreover, the public may opt for far-left anti-austerity parties that pledge non-compliance with IMF conditionalities, as exemplified by the rise of Syriza in Greece.

Within autocratic contexts, however, the causal mechanism operates differently. High-capacity autocracies (such as Pinochet's Chile) possess the raw infrastructural power to enforce deep structural adjustments by insulating the policy arena from interest groups. Nonetheless, their effectiveness is inherently constrained because autocratic elites often refrain from implementing market reforms that threaten to dismantle the predatory networks linking the state and capital. Finally, when an autocracy lacks sufficient state capacity or experiences a decay in bureaucratic insulation (as seen in Suharto's Indonesia), IMF intervention often triggers severe regime-survival struggles. Lacking both formal democratic legitimacy and administrative coordination mechanisms, these regimes fail to broker compromises among social actors, causing public resistance to escalate into fatal civil conflicts. Based on these theoretical expectations, I derive the following conditional hypotheses regarding the interaction between IMF conditionality, state capacity, and regime type:

Hypothesis 1 (H_1): In democratic regimes, strict IMF conditionality is positively associated with the implementation of economic reforms, and this positive effect is conditional upon a high level of state capacity.

Hypothesis 2 (H_2): In autocratic regimes, strict IMF conditionality is positively associated with the implementation of economic reforms, and this positive effect is conditional upon a high level of state capacity.; however, the overall level of compliance will be significantly constrained compared to democratic regimes.

Table 1. Expected Effects of IMF Conditionality by Regime Type and State Capacity

Regime / Capacity	Strong State (High Capacity)	Weak State (Low Capacity)
Democracy	**High Effectiveness** *(e.g., South Korea)* • Capable of implementing painful economic restructuring leveraging democratic legitimacy. • *Caveat:* The positive effect may be conditionally moderated by partisan preferences and coalitions (Beazer and Woo 2016).	**Low Effectiveness-** *(e.g., Greece)* • Structural reforms are easily derailed or delayed by intense public resistance and strikes. • Highly prone to political fragmentation and governmental instability. • Public may choose anti-IMF party.
Autocracy	**Conditional / Constrained Effectiveness** *(e.g., Chile)* • Possesses the infrastructural power and insulation to enforce deep structural adjustments. • *Limitation:* The regime may actively resist or subvert IMF reforms that demand a strict separation between the state and capital.	**Low Effectiveness** *(e.g., Indonesia)* • High risk of explosive regime-survival struggles during macroeconomic shocks. • Crony networks erode bureaucratic insulation, making the state fail to forge compromises or contain societal backlash without escalating into violent conflict.

Empirical Analysis

Data

IMF conditionality data (1980-2019) is from Kentikelenis and Stubbs (2023). Conditionality is generally categorized into prior actions (PAs), quantitative performance criteria (QPCs), indicative targets (ITs), structural benchmarks (SBs), and structural performance criteria (SPCs) (Kentikelenis and Stubbs 2023; Apeti and Gomado 2023). These five types can be divided into *hard conditions* (i.e., PAs, QPCs, and SPCs) that the IMF regards as more important, and *soft conditions* (i.e., ITs, SBs) that the IMF places less weight on (Kentikelenis et al. 2016). The conditions are grouped under 13 mutually exclusive categories. These are Fiscal issues (FP), Revenues and tax issues (RTP), Financial sector, monetary policy, and Central Bank issues (FIN), SOE reform and Pricing (SEO), SOE Privatization (PRI), External debt issues (DEB), External sector—trade and exchange system (EXT), Labor issues—public and private sector (LAB), Social policy (SP), Redistributive policies (POV), Institutional reforms (INS), Land and environment (ENV), and Residual category (OTH). I employ 'BA2TOT' to measure the stringency of IMF structural hard conditionality. The BA2 measure considers only the hard conditions to which the IMF attaches greater importance for implementation. BA2TOT is the total number of hard conditions for every category applicable in a given year (Kentikelenis et al. 2016). In this paper, conditionality has to be sufficient to bind the borrowing country to induce economic reform, so I use BA2TOT as the baseline measurement.

State capacity data (1960-2015) is from Hanson and Sigman (2021), which covers 177 countries and offers a measure that captures the multidimensionality of state capacity. This is used as the main independent variable. The data measures extractive, coercive, and administrative capacities that are fundamental to modern states. Extractive capacity is related to raising tax revenue, which is a critical function for maintaining power. In particular, states should be able to reach their populations, collect information, and manage revenue (Hanson and sigman 2021). Coercive capacity follows the Weberian tradition, which defines the state as a compulsory organization possessing a monopoly on the legitimate use of force within its territorial base (Weber 1978; Hanson and Sigman 2021). It represents the ability to preserve borders, protect against external threats, maintain internal order, and enforce the law (Hanson and Sigman 2021). Administrative capacity pertains to the state's organizational capabilities for successfully implementing policies. This is emphasized by Weber in that precision, speed, unity, and discretion are the core components of the 'technical superiority' of bureaucracy (Weber 1978). The state capacity measure is constructed as a latent variable using 21 indicators that capture these three core dimensions: extractive, coercive, and administrative capacity.

Extractive capacity is measured through tax revenue indicators and fiscal capacity assessments; coercive capacity through military expenditures, military and police personnel, territorial control, and law-and-order measures; and administrative capacity through bureaucratic quality, public administration, census frequency, and statistical information capacity. The index combines these indicators for up to 163 countries from 1960 to 2015 using a latent variable modeling approach (Hanson and Sigman 2021).

Economic reform, the dependent variable, is drawn from the Alesina et al. (2024) dataset (1973-2014), which provides the most comprehensive dataset to date. It includes 90 countries—comprising 29 advanced economies, 50 emerging markets, and 21 low-income countries—accounting for 96% of world GDP in 2017. This dataset was constructed using various sources, including regulation laws, IMF country reports, and multiple documents. It offers six indicators: domestic financial sector, current and capital account, trade, product market, and labor market, all of which are continuously scaled from 0 (low liberalization) to 1 (high liberalization). Using this dataset, I employ factor analysis to construct a comprehensive index for economic reform as the main dependent variable, following Beazer and Woo (2016)[1]. This reform index was modified to capture *progress* in reform. I subtract the reform index value at the start year of an IMF program from the index value two years later (Beazer and Woo 2016). This coding reflects the temporal gap between the agreement on conditionality and its implementation.

Estimation Strategy

After merging the datasets, I construct a balanced country-year panel covering 1980–2014. However, since the purpose of this study is to examine how state capacity and IMF conditionality influence economic reform among countries under IMF programs, I restrict the sample to country-year observations with active IMF programs (IMFnn > 0). This restriction leaves an unbalanced panel, as countries enter and exit IMF programs at different points in time.

[1] The correlations of the Trade, Capital Account, Current Account, Finance, and Product Market liberalization indices (in levels) were above 0.46, which is appropriate; however, the correlation of these five with the Labor market liberalization index is below 0.1, indicating it is independent of the other dimensions. Therefore, I construct the reform index using these five indices. After conducting a principal component factor (PCF) analysis on the five underlying reform indicators, the likelihood-ratio test statistics strongly reject the null hypothesis that the variables are independent ($\chi^2 = 8267.40, p < 0.001$)), confirming their suitability for factor analysis. Following the Kaiser criterion, I obtained a single factor with an eigenvalue greater than 1 (Eigenvalue = 3.37), explaining 67.38% of the total variance. Furthermore, the factor loadings for all individual indicators range from 0.739 to 0.885.

Table 2 and Figure 1 shows the summary statistics and distribution of the main variables, restricting the sample to country-years with active IMF programs (*IMFnn* > 0). The mean of BA2TOT is 20.683. The mean of Capacity is 0.218. However, the distribution differs by regime type. Overall, the state capacity distribution for autocracies is lower than that for democracies. The main dependent variable, Reform Progress, has a mean of approximately 0.135 with standard deviation 0.225 and is centered near 0.

Table 2. Summary Statistics

Variables	N	Mean	Std. Dev.	Min	Max
Economic Reform Progress	884	0.135	0.225	-1.297	1.238
Trade Liberalization	923	0.728	0.218	0.000	1.000
Capital Account Liberalization	1,070	0.564	0.283	0.125	1.000
Current Account Liberalization	1,070	0.629	0.275	0.125	1.000
Financial Liberalization	1,070	0.517	0.270	0.000	1.000
Product Market Liberalization	1,070	0.278	0.307	0.000	1.000
Labor Market Liberalization	1,042	0.720	0.135	0.261	1.000
State Capacity	1,070	0.218	0.634	-1.481	2.048
IMF Conditionalities (*ba2tot*)	1,070	20.683	16.283	0.000	124.000
IMF Program (*imfnn*)	1,070	1.000	0.000	1.000	1.000
Democracy	1,070	0.441	0.497	0.000	1.000
ln(GDP per Capita)	1,057	7.656	1.036	5.273	10.779
Inflation(%)	966	34.503	159.417	-8.525	2,947.733
Current Account Balance(% of GDP)	982	-4.006	5.531	-42.894	17.474
Fiscal Balance(% of GDP)	962	13.666	4.642	2.976	32.014

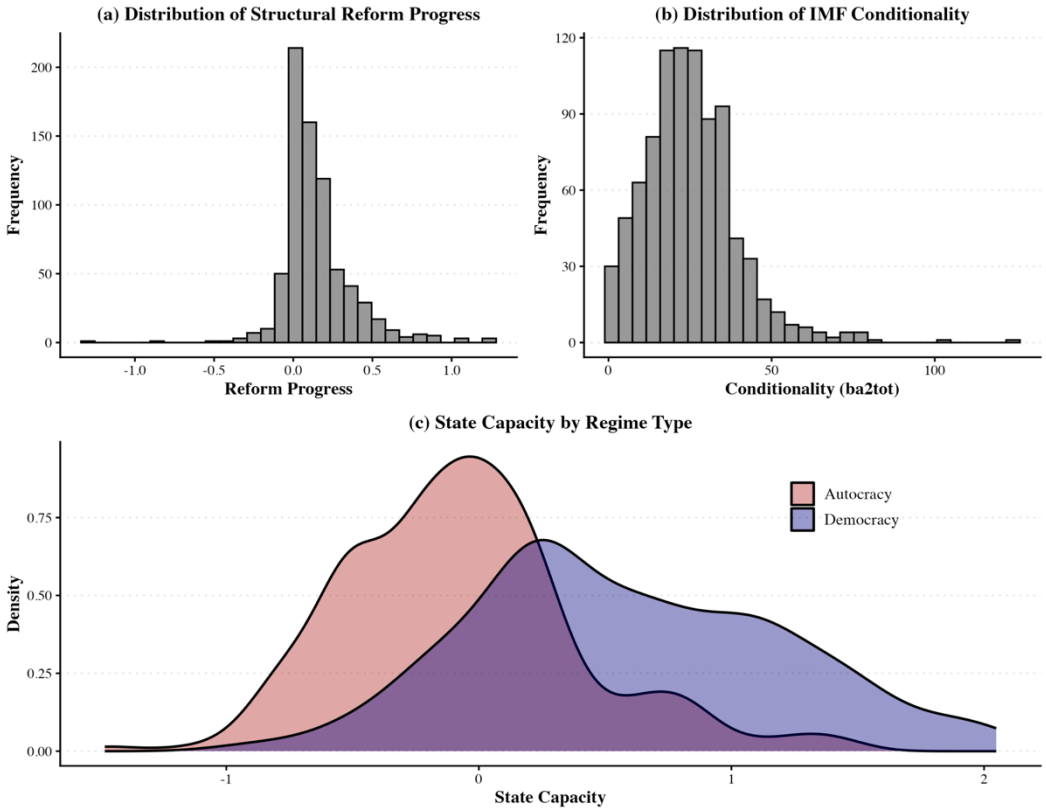
Notes: Economic Reform is a comprehensive index constructed via principal component factor analysis using five liberalization indicators from Alesina et al. (2024), modified to capture the two-year progress following the start of an IMF program (Beazer and Woo 2016). Labor market liberalization is excluded from the PCA due to low correlation. State Capacity is a latent variable measuring extractive, coercive, and administrative capacities (Sigman and Hanson 2021). IMF Conditionalities (BA2TOT) represents the total number of structural hard conditions—PAs, QPCs, and SPCs (Kentikelenis and Stubbs 2023). Democracy is sourced from V-Dem. ln(GDP per Capita), Inflation, Current Account Balance, and Fiscal Balance are sourced from the World Bank.

The empirical analysis proceeds by estimating separate two-way fixed effects (TWFE) models for autocracies and democracies in order to examine whether regime type conditions the relationship between IMF conditionality, state capacity, and economic reform. The dependent variable is economic reform progress, while the main explanatory variable is the interaction between IMF conditionality and state capacity. The central argument is that the effect of IMF conditionality on reform implementation depends on the borrowing country's level of state capacity.

In addition to TWFE models, this study employs multilevel modeling to account for the hierarchical structure of the data, in which country-year observations are nested within countries. Multilevel models allow for unobserved heterogeneity across countries by explicitly modeling

between-country variation and random intercepts. Furthermore, this approach accommodates the possibility that the effect of IMF conditionality on reform progress may vary across countries, reflecting differences in domestic institutional and political contexts. By comparing the results from TWFE and multilevel specifications, this study assesses whether the main findings are robust across alternative modeling strategies.

Figure 1. Distribution of Main Variables



Notes: Data restricted to country-years with active IMF programs.

Results

Table 2 presents the estimation results of TWFE OLS and linear mixed models, split by regime type to test the conditional hypotheses. The primary focus is on the interaction term between IMF Conditionality and State Capacity to determine whether the bureaucratic and infrastructural power of a state facilitates or hinders economic reform under different political institutions.

The results provide robust empirical support for Hypothesis 1. In democratic regimes (Columns 1 and 2), the interaction term between conditionality and state capacity is positive and statistically significant (0.0023, $p < 0.05$ in the OLS model; 0.0025, $p < 0.05$ in the mixed model). The baseline coefficient for conditionality alone is close to zero and insignificant, indicating that the imposition of IMF structural conditions does not automatically lead to reform progress in democracies. Rather, the positive and significant interaction term demonstrates that the effectiveness of IMF conditionality is strictly moderated by state capacity. Substantively, this aligns with the theoretical expectation that high-capacity democracies can effectively leverage their democratic legitimacy and administrative coordination to absorb the social shocks of painful neoliberal restructuring. Without sufficient state capacity, however, democracies are vulnerable to public backlash and political fragmentation, derailing the reform process.

Turning to autocratic regimes (Columns 3 and 4), the empirical findings reveal a stark contrast, corroborating Hypothesis 2. The interaction term between conditionality and state capacity in autocracies is negative and statistically indistinguishable from zero (0.0024 in the OLS model; 0.0018 in the mixed model). This indicates that, unlike in democracies, high state capacity in autocratic regimes does not translate into a higher willingness or ability to comply with IMF economic reforms.

This null finding is theoretically consistent with the constrained effectiveness framework: while high-capacity autocracies possess the raw infrastructural power to enforce adjustments, ruling elites lack the political will to implement reforms that demand a clear separation between the state and capital. Because neoliberal reforms threaten the predatory networks and rent-seeking structures that sustain autocratic ruling coalitions, even capable authoritarian states resist or subvert deep structural adjustments.

Across the models, the results are largely consistent regardless of the modeling approach. Among the control variables, the Current Account Balance shows a statistically significant negative association with reform progress in democracies (-0.0081, $p < 0.05$), suggesting that democracies with deteriorating external balances may face stronger immediate pressures to undertake structural

changes. Other macroeconomic controls, including GDP growth and inflation, remain largely insignificant.

Table 3. Effects of IMF Conditionality on Economic Reform Progress

(Samples are restricted by *IMFnn* > 0)

Dependent Variable:	**Democracy (Demo)**		**Autocracy (Auto)**	
	Reform Progress			
	(1) OLS	(2) Mixed	(3) OLS	(4) Mixed
Conditionality	0.0000	0.0002	0.0006	0.0009
	(0.0006)	(0.0008)	(0.0008)	(0.0006)
State Capacity	−0.0271	0.0047	−0.0523	0.0058
	(0.1172)	(0.0431)	(0.1133)	(0.0514)
Conditionality × State Capacity	0.0023*	0.0025*	−0.0024	−0.0018
	(0.0009)	(0.0010)	(0.0018)	(0.0017)
GDP per capita (logged)	−0.3029·	−0.0110	0.1549	0.0023
	(0.1775)	(0.0224)	(0.1928)	(0.0251)
GDP Growth (%)	0.0009	0.0014	−0.0035	0.0001
	(0.0029)	(0.0024)	(0.0033)	(0.0026)
Inflation (%)	−0.0000	0.0000	0.0003	0.0005
	(0.0001)	(0.0000)	(0.0010)	(0.0005)
Current Account Balance (% of GDP)	−0.0081*	−0.0045·	0.0028	0.0006
	(0.0038)	(0.0023)	(0.0025)	(0.0022)
Population (logged)	0.0842	−0.0008	0.1498	−0.0065
	(0.2591)	(0.0109)	(0.3491)	(0.0160)
Fiscal Balance (% of GDP)	−0.0150·	0.0005	0.0061	−0.0029
	(0.0079)	(0.0030)	(0.0070)	(0.0034)
Corruption	−0.1035	0.0791	0.0837	−0.0340
	(0.4452)	(0.0674)	(0.1598)	(0.0800)
Country FE	Yes	No	Yes	No
Year FE	Yes	No	Yes	No
Country Random Intercept	No	Yes	No	Yes
Year Random Intercept	No	Yes	No	Yes
Observations	347	349	354	356
Number of Countries	39	40	38	40
Number of Years	30	31	32	32
Adjusted R^2	0.323	–	0.282	–
Marginal R^2	–	0.076	–	0.019
Conditional R^2	–	0.320	–	0.276

Notes: Standard errors in parentheses. OLS standard errors are clustered at the country level. Multilevel models (columns 2 and 4) include random intercepts for both countries and years. For multilevel models, Nakagawa's marginal and conditional R^2 are reported. Significance levels: · $p < 0.10$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Figure 2. Marginal Effect of IMF Conditionality by State Capacity

(Samples are restricted by *IMFnn* > 0)

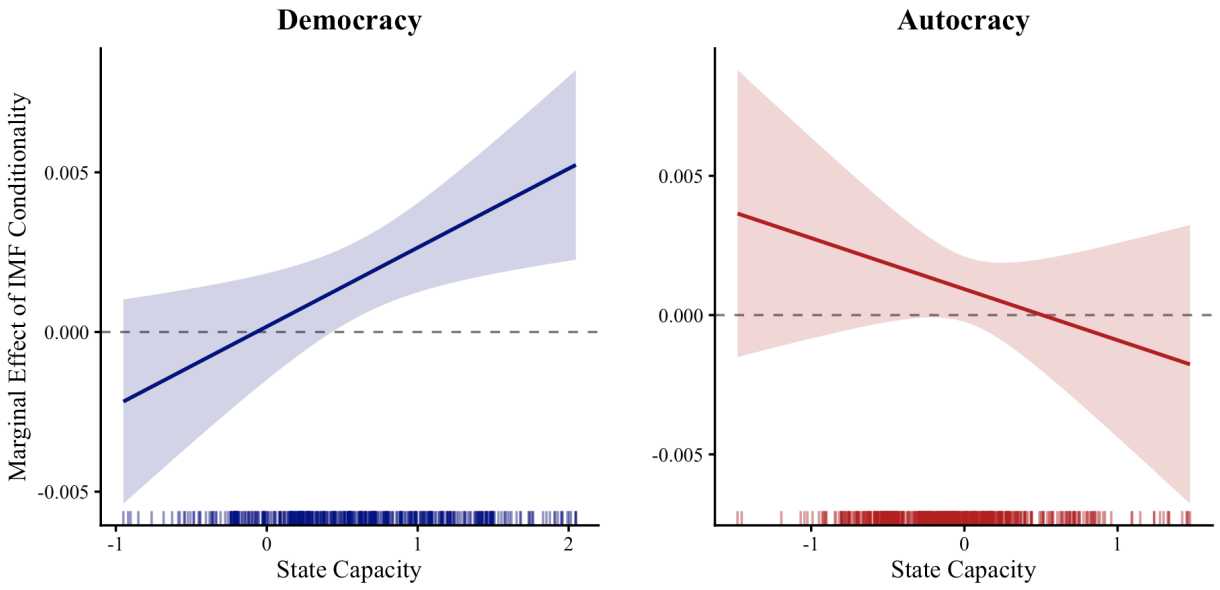


Figure 2 visually shows the main empirical findings by plotting the marginal effect of IMF conditionality on reform progress across varying levels of state capacity for both democracies and autocracies. As illustrated in the left panel, the marginal effect in democratic regimes becomes positive and statistically significant—indicated by the 95% confidence interval rising strictly above the zero line—only when state capacity reaches a relatively high level. This clearly supports the hypothesis that democracies require strong state capacity to successfully implement painful neoliberal reforms. In contrast, the right panel demonstrates that in autocratic regimes, the marginal effect of conditionality remains statistically indistinguishable from zero across almost the entire distribution of state capacity. Together, these plots provide compelling visual evidence that while state capacity serves as a critical catalyst for IMF compliance in democracies, autocratic elites tend to resist structural adjustments that threaten their rent-seeking networks, regardless of how capable their state apparatus might be.

The interaction between state capacity and IMF conditionality in democracies holds substantial practical importance. To evaluate the substantive meaning of these coefficients, I calculate the marginal effect of state capacity at the mean level of conditionality for democracies under an IMF program (mean *ba2tot* ≈ 21.4). Based on the linear mixed model, an increase of one unit in state

capacity at this mean level of conditionality is associated with a 0.058-point increase in reform progress ($0.0047 + 0.0025 \times 21.4 = 0.058$).

Given that the standard deviation of the economic reform progress index is 0.225, this indicates that a one-unit increase in state capacity boosts reform progress by roughly one-quarter (25.78%) of a standard deviation. Furthermore, based on the OLS estimates, the marginal effect of state capacity turns positive only when the number of structural conditions exceeds the threshold of 12 ($0.0271/0.0023 \approx 11.78$). This finding substantively illustrates that robust state capacity acts as a crucial catalyst for reform only when the state faces a relatively stringent mandate for macroeconomic restructuring.

Robustness Checks and Sectoral Heterogeneity

To examine whether the substantive implications of the main findings hold across alternative conditionality measures and whether subdimensional conditionality types drive sector-specific reform outcomes, I employ alternative specifications reported in Table 4. The primary analysis relied on BA2TOT, which counts only binding (hard) conditions carrying formal enforcement weight. Columns (1) and (2) extend this by substituting BA1TOT—which additionally incorporates soft, non-binding conditions—and dBA2TOT, which discounts conditionality ex-post by actual implementation status, respectively. Columns (3) through (8) further disaggregate the analysis by constructing sector-specific reform progress indicators, defined samely to the main dependent variable as the two-period-ahead change in each of the six underlying reform dimensions prior to factor aggregation: trade liberalization, capital account liberalization, current account openness, financial market liberalization, product market reform, and labor market liberalization. Each sectoral outcome is then regressed on its theoretically matched conditionality policy area—external sector conditionality (BA2EXT) for trade, capital account, and current account reforms; financial sector conditionality (BA2FIN) for financial market reform; the sum of state-owned enterprise, privatization, and institutional conditionality (BA2SOE, BA2PRI, BA2INS) for product market reform; and labor conditionality (BA2LAB) for labor market reform—alongside the same interaction with state capacity and control variables used in the main specification.

Table 4 presents the estimated effects of IMF condition policy area on overall and sectoral economic reforms for democratic samples. Columns (1) and (2) report results for aggregate conditionality measures. Neither the total burden of adjustment (BA1TOT) nor the implementation-discounted variant (dBA2TOT) yields statistically significant effects on overall reform progress,

suggesting that the sheer volume of conditionality does not translate directly into reform implementation. The interaction terms between these aggregate measures and state capacity are likewise insignificant, offering limited support for the moderating role of institutional capacity at the aggregate level. These findings suggest that state capacity serves as the mediating mechanism through which binding conditionality (BA2TOT) translates into tangible reform progress.

The sectoral estimates, reported in columns (3) through (8), reveal a more nuanced pattern. External sector conditionality (BA2EXT) exerts a statistically significant positive effect on trade liberalization (column 3; $\beta = 0.026, p < 0.05$), while its effect on current account reform is negative and significant (column 5; $\beta = -0.025, p < 0.05$). Notably, the interaction terms mirror this divergence: the coefficient on External Cond. ×Capacity is negative for trade liberalization ($\beta = -0.028, p < 0.05$) but positive for current account reform ($\beta = 0.027, p < 0.05$). This sign reversal suggests that higher state capacity conditions the direction—countries with stronger capacity may prioritize current account adjustment over trade openness when confronted with IMF external sector conditions.

Financial sector conditionality (BA2FIN) and labor conditionality (BA2LAB) do not produce significant effects in their respective domains (columns 6 and 8), nor do their interactions with state capacity reach conventional significance thresholds. Similarly, the product market specification (column 7) yields no significant coefficients, though state capacity itself approaches marginal significance ($\beta = 0.130, p < 0.1$), implying positive correlation between state capacity and product market reform independent of conditionality.

Table 5 replicates the same specifications for the autocratic subsample. The results stand in contrast to those observed among democracies. Across all eight models, neither aggregate conditionality measures nor sector-specific conditions yield statistically significant effects on reform progress, with the only partial exception of external sector conditionality on trade liberalization, which approaches marginal significance ($\beta = -0.011, p < 0.1$). Crucially, the interaction terms between each specific-policy conditionality and state capacity are uniformly insignificant, indicating that state capacity does not serve as a meaningful moderator of IMF conditionality effects in autocratic settings.

Table 4. Alternative Conditionality Measures and Sectoral Effects on Economic Reform (Democracies)

	(1) BA1TOT	(2) dBA2TOT	(3) Trade	(4) Capital	(5) Current	(6) Finan.	(7) Product	(8) Labor
Burden of Adjustment (total)	0.001							
	(0.001)							
Implementation-Discounted BA		−0.000						
		(0.001)						
External Sector Cond.			0.026*	−0.009	−0.025*			
			(0.011)	(0.015)	(0.012)			
Financial Sector Cond.						0.001		
						(0.004)		
Product Market Cond.							-0.017	
							(0.015)	
Labor Cond.								−0.005
								(0.007)
State Capacity	−0.013	0.009	0.056	−0.087	−0.070·	−0.084*	0.130·	−0.020
	(0.079)	(0.079)	(0.037)	(0.055)	(0.042)	(0.038)	(0.067)	(0.022)
BA1TOT × Capacity	0.001							
	(0.001)							
dBA2TOT × Capacity		0.001						
		(0.001)						
External Cond. × Capacity			−0.028*	0.007	0.027*			
			(0.011)	(0.017)	(0.013)			
Financial Cond. × Capacity						0.002		
						(0.005)		
Product Cond. × Capacity							0.020	
							(0.017)	
Labor Cond. × Capacity								0.002
								(0.008)
Num. Obs.	347	347	297	319	319	319	319	315
R^2	0.479	0.461	0.622	0.381	0.439	0.517	0.453	0.276
R^2 Adj.	0.330	0.306	0.493	0.180	0.257	0.360	0.276	0.037
R^2 Within	0.091	0.059	0.123	0.051	0.067	0.123	0.105	0.077
R^2 Within Adj.	0.058	0.024	0.083	0.012	0.028	0.086	0.067	0.038
FE: Country	✓	✓	✓	✓	✓	✓	✓	✓
FE: Year	✓	✓	✓	✓	✓	✓	✓	✓

Notes: All models estimated via two-way fixed effects (TWFE) with country and year fixed effects. Standard errors clustered at the country level in parentheses. Controls included in all models but not reported. Dependent variables in columns (3)–(8) are constructed as two-period-ahead changes: $\Delta z_{it} = z_{i,t+2} - z_{it}$.
$^{\cdot}p < 0.1$, $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

Table 5. Alternative Conditionality Measures and Sectoral Effects on Economic Reform (Autocracies)

	(1) BA1TOT	(2) dBA2TOT	(3) Trade	(4) Capital	(5) Current	(6) Finan.	(7) Product	(8) Labor
Burden of Adjustment (total)	0.000							
	(0.001)							
Implementation-Discounted BA		0.001						
		(0.001)						
External Sector Cond.			-0.011·	-0.002	0.000			
			(0.006)	(0.005)	(0.005)			
Financial Sector Cond.						-0.002		
						(0.003)		
Product Market Cond.							-0.008	
							(0.030)	
Labor Cond.								0.004
								(0.022)
State Capacity	-0.063	-0.037	0.135*	-0.168***	-0.049	0.053	0.002	0.036
	(0.100)	(0.094)	(0.062)	(0.046)	(0.047)	(0.046)	(0.050)	(0.024)
BA1TOT × Capacity	-0.001							
	(0.001)							
dBA2TOT × Capacity		-0.003·						
		(0.002)						
External Cond. × Capacity			-0.006	0.002	-0.012			
			(0.016)	(0.013)	(0.014)			
Financial Cond. × Capacity						-0.005		
						(0.007)		
Product Market Cond. × Capacity							0.017	
							(0.086)	
Labor Cond. × Capacity								-0.001
								(0.069)
Num. Obs.	354	354	314	372	372	372	372	357
R^2	0.437	0.445	0.281	0.308	0.380	0.351	0.414	0.250
R^2 Adj.	0.278	0.287	0.046	0.118	0.209	0.172	0.253	0.033
R^2 Within	0.025	0.038	0.051	0.065	0.093	0.039	0.019	0.034
R^2 Within Adj.	-0.010	0.003	0.011	0.033	0.062	0.006	-0.015	-0.001
FE: Country	✓	✓	✓	✓	✓	✓	✓	✓
FE: Year	✓	✓	✓	✓	✓	✓	✓	✓

Notes: Sample restricted to autocratic country-years (demo = 0). All models estimated via two-way fixed effects (TWFE) with country and year fixed effects. Standard errors clustered at the country level in parentheses. Controls included in all models but not reported. Dependent variables in columns (3)–(8) are constructed as two-period-ahead changes: $\Delta z_{it} = z_{i,t+2} - z_{it}$.
$\cdot p < 0.1$, $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

State capacity exerts a statistically significant independent effect in two sectoral models within the autocratic sample. In the trade liberalization specification (column 3), state capacity is positively associated with reform progress of trade liberalization ($\beta = 0.135, p < 0.05$), suggesting that strong autocracies are better positioned to implement trade opening even absent effective conditionality pressure. By contrast, state capacity is strongly and negatively associated with capital account liberalization ($\beta = -0.168, p < 0.001$), indicating that strong autocratic states resist financial openness—consistent with the literature on authoritarian capital control as a tool of political survival.

The negative and marginally significant coefficient on dBA2TOT ×Capacity ($\beta = -0.003$, $p < 0.1$) suggests that among autocracies, higher state capacity may actually attenuate whatever reform pressure is associated with implementation-discounted conditionality. Taken together, these findings suggest that the conditionality-capacity mechanism identified in the democratic sample does not extend to autocracies, where the political incentives and institutional logics governing reform compliance differ fundamentally.

Endogeneity Problem

A key empirical challenge is endogeneity. First, reverse causality may arise if the IMF systematically imposes stronger conditionality on countries that are more likely to successfully implement reforms. In this case, conditionality would be correlated with expected reform outcomes rather than exogenously assigned. Second, economic reform itself may affect state capacity. Successful reforms may strengthen extractive and administrative capacity by improving tax collection, regulatory quality, and bureaucratic effectiveness. Conversely, reform processes may generate social conflict and political instability, which can weaken state capacity. These concerns imply potential simultaneity between the main explanatory variables and the dependent variable.

This study attempts to address these endogeneity concerns through a two-way fixed effects instrumental variables approach (see Appendix Tables A1 and A2). I use the borrowing country's voting distance from the United States in the United Nations General Assembly (UNGA) as an instrument. Existing literature suggests that geopolitical alignment with major shareholders—particularly the United States—shapes IMF lending decisions and program design, including the intensity of conditionality (Barro and Lee 2005; Stubbs et al. 2020; Woo 2013). For state capacity, I use military personnel per capita as an instrument, on the grounds that it captures the coercive dimension of state capacity while its direct effect on economic reform outcomes is expected to be

limited conditional on other covariates and fixed effects. The instrumented interaction term is then constructed from the fitted values of both first-stage regressions.

However, first-stage diagnostics reveal that the instruments are insufficiently strong. The F-statistics for the conditionality and interaction term equations fall well below conventional thresholds across both subsamples, indicating a weak instrument problem. However, first-stage diagnostics reveal that the instruments are insufficiently strong. The F-statistics for the conditionality and interaction term equations fall well below conventional thresholds across both subsamples, indicating a weak instrument problem. Consequently, the IV estimates are not interpreted as primary findings, and the instrumentation strategy is reported for transparency rather than causal identification. The robustness of the main results is instead evaluated through the consistency between the pooled two-way fixed effects and multilevel mixed models, which yield substantively similar conclusions. A more refined instrumentation strategy remains an avenue for future research.

Case Study

However, these quantitative findings cannot by themselves substantiate the proposed causal mechanisms through which state capacity shapes reform implementation—namely, overcoming societal resistance, coordinating competing interests, and enhancing administrative efficiency. The statistical associations documented above establish correlation rather than causation, and the within-country processes through which state capacity operates remain a black box at the level of cross-national panel estimation. To trace how state capacity shapes reform implementation within democratic regimes, this study conducts a comparative case study of South Korea and Greece. The scope of analysis covers South Korea's IMF program participation from 1997 to 2000 and Greece's from 2010 to 2014. Both countries are classified as democracies. The two cases also exhibit meaningful economic similarities. In terms of per capita GDP, both countries ranked within the top thirty globally in the five-year average prior to their respective crises, indicating comparable levels of economic development. Their trade openness indicators are likewise similar, with South Korea and Greece recording values of 0.43 and 0.32, respectively. Pre-crisis inflation rates also was around five percent in both countries, suggesting comparable monetary conditions. Both South Korea and Greece were governed by reform-oriented administrations during their respective crisis periods. In South Korea, although the Kim Dae-jung administration was center-left, major opposition forces, particularly the

conservative party, broadly cooperated with crisis-driven reforms. Similarly, Greece experienced successive reformist governments, transitioning from the center-left PASOK administration to a grand coalition and later a center-right-led coalition under New Democracy, all of which formally committed to IMF-backed structural reforms.

Table 6. Macroeconomic and State Capacity Index of South Korea and Greece

	Korea	Greece
Panel A: Pre-Crisis Macroeconomic Conditions (5-Year Average)		
GDP (billions, constant 2015 US$)	557.0	256.0
GDP per Capita (constant 2015 US$)	12,464(34th)	23,175(38th)
GDP Growth Rate (%)	7.97	1.41
Trade Openness (% of GDP)	0.43	0.32
Inflation Rate (%)	5.34	3.00
Fiscal Balance (% of GDP)	10.18	21.29
Current Account Balance (% of GDP)	−1.40	−11.66
Goverment Debt (% of GDP)	8.90	111.26
Panel B: State Capacity During IMF Program		
Capacity Index	1.93	1.43
Tax Revenue (% of GDP)	0.17	0.21
Rigorous and Impartial Public Admin.	2.61	1.32
State Fiscal Capacity	2.42	0.27

Notes: Panel A reports five-year pre-program averages (Korea, 1992–1996; Greece, 2005–2009). Panel B reports averages over the IMF program period (Korea, 1997–2000; Greece, 2010–2014). GDP is expressed in billions of constant 2015 US dollars. State Fiscal Capacity and Rigorous and Impartial Public Administration are V-Dem indices (`v2stfisccap` and `v2clrspct`, respectively); the Capacity Index refers to the Hanson–Sigman composite measure. Data sources: [WDI; V-Dem v13; Hanson and Sigman – confirm exact citation].

Nevertheless, important structural differences exist. Greece's fiscal balance as a share of GDP stood at 21.29 percent, compared to South Korea's 10.18 percent, reflecting Greece's significantly larger public sector and substantially higher pension expenditure. Accordingly, Greece's current account balance as a share of GDP was -11.66 percent, against South Korea's -1.4 percent. The contrast in public debt levels is equally stark: Greece's government debt-to-GDP ratio reached 111 percent, while South Korea's stood at just 8.9 percent. In sum, while the two countries are broadly comparable in terms of overall economic development, trade exposure, and inflation, they differ substantially in the scope and fiscal character of their public sectors.

Turning to state capacity, the democratic subsample average stands at 1.30. South Korea's overall state capacity score of 1.93 places it well above this mean, while Greece's score of 1.43 only marginally exceeds it. The most pronounced divergence lies in public administrative capacity: South Korea scores 2.61, whereas Greece records a considerably more limited 1.32. A parallel gap is evident

in fiscal capacity, where South Korea scores 2.42 against Greece's 0.27. These figures confirm that meaningful differences in state capacity exist between the two cases, thereby providing a suitable basis for examining how institutional capacity conditions reform outcomes in subsequent analysis.

IMF Conditionality, Structural Reform, and State Capacity

This study draws on the same dataset compiled by Kentikelenis and Stubbs (2023) to conduct a comparative assessment of the structure and adjustment pressure of loan conditionality imposed on South Korea (1997--2000) and Greece (2010--2014) during their respective crisis episodes.

The two countries faced substantially different conditionality burdens in terms of both absolute volume and institutional complexity. The BA1 indicator, which counts the total number of conditions, averaged 22.5 per year for South Korea, compared to 52.4 for Greece---more than double. The weighted BA3 indicator, which assigns a weight of two to binding and one to non-binding conditions, similarly stood at 39 for South Korea against 85.8 for Greece, confirming that the intensity of structural adjustment pressure was considerably greater for Greece. Given this disparity in the number of conditions, it is more appropriate to evaluate compliance in terms of implementation rates rather than absolute changes in reform outcomes.

An analysis of sectoral conditionality patterns reveals divergent emphases consistent with the distinct origins of each crisis. For South Korea, where short-term foreign exchange illiquidity and banking sector insolvency were the immediate triggers, financial sector, monetary policy, and central bank conditionality (FIN) dominated the adjustment agenda, accounting for an annual average of 10.75 conditions---nearly half of the total. For Greece, whose crisis was rooted in chronic fiscal imbalance and sovereign over-indebtedness, fiscal policy conditions (FP) averaged 17.4 per year and external debt conditions (DEB) averaged 10.2, together constituting a substantial share of the total burden. Moreover, Greece was subjected to a comprehensive reform package spanning multiple domains of the microeconomy: labor issues in the public and private sectors (LAB, 6.4), revenue and tax policy (RTP, 5.8), and state-owned enterprise privatization (PRI, 4.0). Greece also faced an annual average of 12.6 Prior Actions---binding measures required to be completed before board approval of loan disbursements---compared to just 0.5 for South Korea, leaving considerably less room for political negotiation during program implementation.

Regarding implementation, the gap between Korea's nominal conditionality indicator (BA1: 22.5) and its interruption-adjusted implementation-discounted measure (dBA1: 20.94) was negligible, indicating that the Korean government completed program requirements swiftly and continuously without significant interruption or sustained program suspension. Greece, by contrast, experienced a precipitous decline from its nominal conditionality total (BA1: 52.4) to its interruption-adjusted measure (dBA1: 26.95)---a reduction of nearly fifty percent---suggesting that the intense reform pressure Greece faced was repeatedly stalled by acute domestic social resistance and political turnover, resulting in frequent delays and prolonged suspensions of the scheduled quarterly review process.

Strong Democratic State – South Korea

How, then, did these divergent conditionality structures translate into actual economic reform outcomes in the two countries? The Kim Dae-jung administration undertook sweeping reforms targeting both labor and capital. While the economic crisis compelled the government to confront the non-performing loan crisis directly, President Kim's reformist orientation toward economic democratization was consistent with a broader agenda to restore market mechanisms and dismantle the collusive ties between the state and the chaebol, with the aim of ensuring that all economic actors---entrepreneurs, workers, farmers, and consumers---could benefit from the opportunities afforded by a liberal market economy (Lim and Hahm 2006). Mobilizing state capacity and the meritocratic bureaucracy, the Kim government pursued neoliberal reform across both labor and capital domains.

In the labor sphere, the administration sought to attract large-scale foreign direct investment and weaken the domestic market dominance of the chaebol, which required the demobilization of organized labor. Containing labor militancy thus became a central policy objective. With capital-labor conflict over labor market flexibilization temporarily deadlocked following the general strike of January 1997, President Kim offered labor a compromise: in exchange for accepting mass layoffs and enhanced labor market flexibility, the government extended unemployment insurance coverage and guaranteed basic labor rights, thereby minimizing union resistance (Lee et al. 2002). Consistent with the terms of the standby agreement, the IMF demanded the repeal of employment protection legislation, and new labor laws enacted in February 1998 facilitated dismissal. This process was nonetheless accompanied by the systematic suppression of the labor movement, with more than 650 labor activists arrested in the aftermath of 1997 (Crotty and Lee 2002).

In the domain of capital restructuring, President Kim introduced the "Big Deal" initiative, compelling large conglomerates to exchange and consolidate overlapping business units through sector-specific specialization, thereby dismantling the chaebol system of diversified cross-subsidization. The Sixth Amendment to the Monopoly Regulation and Fair Trade Act (February 1998), which had abolished ceilings on equity investment, was reversed through the Eighth Amendment (1999), reinstating limits on total equity investment at 25 percent of net assets and curbing indiscriminate conglomerate diversification (Lee 2013). State capacity was equally decisive in financial sector reform. Since the appointment of senior bank management had been effectively controlled by the government, the administration was able to push through a comprehensive financial sector restructuring program with relatively limited resistance. On December 29, 1997, thirteen financial reform bills were passed, including legislation establishing a unified financial supervisory authority; the Financial Supervisory Commission and the Financial Supervisory Service subsequently emerged in April 1998, substantially strengthening regulatory oversight (Lim and Hahm 2006). South Korea's meritocratic bureaucracy---relatively insulated from particularistic interest group pressure and trained to serve presidential priorities---played a decisive role in implementing these reforms (Lim and Hahm 2006). When corruption scandals involving venture enterprises emerged, for instance, the government deployed the Fair Trade Commission to investigate illicit intra-group transactions and impose substantial fines. Taken together, these measures illustrate the operation of the three mechanisms through which state capacity mediates reform implementation identified in this study: overcoming resistance, coordinating competing interests, and enhancing implementation efficiency.

Weak Democratic State – Greece

The Greek experience stands in sharp contrast. Low state capacity severely constrained the translation of IMF conditionality into substantive reform. The factors impeding reform can be broadly classified as endogenous and exogenous. Endogenous factors include the clientelistic structure of the state and the scale of the shadow economy; exogenous factors relate to the flawed design of the program itself (Mavridakis, Dovas, and Bravou 2018). Given that the conditionality imposed on Greece was markedly more extensive than that imposed on South Korea, the present study focuses on the endogenous dimension---specifically, how Greece's internal institutional characteristics conditioned the translation of conditionality into reform outcomes.

In the short term, the primary objective of the first Greek Economic Adjustment Programme was to improve public finances by curtailing expenditure and enhancing revenue. Implementing such measures was, however, severely hampered by an oversized public sector and pervasive clientelistic relations between the government and private interests. The reformist ambitions of the PASOK government under George Papandreou, which came to power in 2009, were frustrated by severe general strikes and sustained popular discontent (Featherstone 2011). The crisis moreover demanded that the government possess sufficient administrative and enforcement capacity to carry reforms through to completion; yet state failure on precisely this dimension rendered reform efforts largely unsuccessful. In the domain of labor market reform, the Greek government sought to advance the labor flexibilization agenda demanded by the IMF, but the dismantling of the collective bargaining system dramatically weakened workers' bargaining power while simultaneously consolidating employer authority. Critically, these reform measures were not accompanied by complementary social safety net provisions or relaxed eligibility criteria for unemployment benefits to cushion the social costs of adjustment (Tourtouri, Pavlopoulos, and Papatheodorou 2020). In sum, Greece's economic reform process was persistently constrained by the state's weak institutional capacity, and none of the three mechanisms---overcoming resistance, coordinating interests, and ensuring implementation efficiency---operated effectively. The Greek case therefore corroborates the central argument of this study: within the democratic subsample, variation in state capacity is a decisive determinant of the extent to which IMF conditionality is translated into actual reform implementation.

Conclusion

This study has examined how state capacity and regime type jointly condition the translation of IMF conditionality into economic reform outcomes. Drawing on a cross-national panel of 68 countries, restricted to country-years under IMF programs (imfnn > 0) between 1980 and 2014, the empirical analysis consistently demonstrates that the effect of binding conditionality on reform progress is positive and significant only in democratic regimes with sufficient state capacity. In autocratic regimes, by contrast, the conditionality-capacity interaction yields no significant effect, suggesting that capable authoritarian states deploy their institutional resources to protect rent-seeking structures rather than to implement painful structural adjustments. However, the endogeniety problem exists. The instrumentation strategy for addressing endogeneity, while theoretically motivated, was limited by

weak first-stage diagnostics, and a more refined identification strategy remains an avenue for future research.

These findings suggest both theoretical and practical implications. Theoretically, the study reorients the literature on IMF compliance away from its focus on political will and domestic political structures toward the administrative and bureaucratic capacity—an argument foreshadowed by Haggard and Kaufman (1992) but left empirically unresolved. The unified framework combining state capacity and regime type offers a more portable explanation of reform compliance than regionally bounded accounts, and is corroborated by comparative case evidence from South Korea and Greece, two democracies that faced comparable IMF programs but diverged sharply in reform outcomes along precisely the dimension of state capacity.

Practically, the results suggest that the effectiveness of IMF conditionality is not solely a function of program design or the stringency of conditions imposed. Whether those conditions translate into actual policy change depends critically on the institutional environment of the borrowing country. International financial institutions and donor communities would therefore do well to complement conditionality design with sustained attention to state-building and administrative capacity development in borrowing countries—particularly in democratic settings where the political costs of reform are most visible and the need for institutional mediation is greatest.

Appendix

A1. IV Estimation: First Stage Results

	ba2tot		*capacity*		*ba2tot_cap*	
	Demo	Auto	Demo	Auto	Demo	Auto
Instruments						
s_usa (UNGA voting distance)	12.952	−35.067	−0.238	−0.694	−8.446	−17.966
	(40.630)	(42.798)	(0.527)	(0.610)	(33.650)	(23.271)
milpercap	3.884	−1.170	−0.011	−0.193*	2.193	−6.314
	(7.742)	(8.025)	(0.125)	(0.093)	(8.874)	(3.921)
iv_int_usa	−17.521	21.236	0.382*	0.388*	−9.937	13.767*
	(14.029)	(15.826)	(0.181)	(0.172)	(15.570)	(6.069)
Controls						
ln(GDPpc)	−32.014*	1.039	0.720**	0.651**	−17.773	9.120†
	(12.618)	(12.129)	(0.208)	(0.222)	(13.152)	(4.837)
GDP growth	−0.067	−0.451	0.005*	−0.003	0.029	−0.298**
	(0.205)	(0.347)	(0.002)	(0.003)	(0.229)	(0.086)
Inflation	−0.003	−0.061	0.000***	−0.001**	−0.002	−0.046*
	(0.003)	(0.040)	(0.000)	(0.000)	(0.002)	(0.022)
Current Account Balance	0.528†	0.694*	0.001	0.001	0.765*	−0.021
	(0.290)	(0.338)	(0.003)	(0.002)	(0.340)	(0.098)
ln(Pop)	−6.316	59.835**	0.388	−0.192	2.688	15.185
	(16.108)	(16.970)	(0.302)	(0.294)	(21.328)	(17.638)
Fiscal balance	−0.135	−0.042	0.027**	0.007	0.800†	0.206
	(0.414)	(0.795)	(0.009)	(0.009)	(0.471)	(0.333)
Corruption (*v2x*)	0.913	−11.111	−0.298	−0.720***	−22.692	−13.677**
	(23.955)	(9.610)	(0.576)	(0.136)	(27.431)	(4.319)
Observations	347	347	347	347	347	347
Countries	39	37	39	37	39	37
Country FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Within R^2	0.057	0.079	0.273	0.453	0.081	0.120
F-stat (instr.)	0.803	1.211	8.571***	4.075**	0.633	1.795

Notes: Clustered standard errors (country level) in parentheses. Instruments: s_usa = US voting alignment in UNGA; milpercap = military personnel per capita; iv_int_usa = $s_usa \times mil\ percap$. $***p < 0.001$, $**p < 0.01$, $*p < 0.05$, $\dagger p < 0.10$.

A2. IV Estimation: Second Stage Results

	Democracy	Autocracy
$\widehat{ba2tot}$	−0.065	0.008
	(0.147)	(0.023)
$\widehat{capacity}$	−2.024	1.988
	(4.234)	(5.041)
$ba2tot \times \widehat{capacity}$	0.025	−0.068
	(0.133)	(0.149)
Controls		
ln(GDPpc)	−0.541	−0.562
	(1.514)	(2.002)
GDP growth	0.006	−0.014
	(0.020)	(0.030)
Inflation	0.000	0.000
	(0.000)	(0.002)
Current Account Balance	0.010	−0.006
	(0.088)	(0.019)
ln(Pop)	0.417	1.157
	(2.015)	(3.461)
Fiscal balance	0.011	0.005
	(0.149)	(0.022)
Corruption ($v2x$)	−0.124	0.741
	(3.818)	(1.684)
Observations	347	347
Countries	39	37
Country FE	✓	✓
Year FE	✓	✓
Within R^2	0.075	0.029
F-stat: $\widehat{ba2tot}$	0.803	1.211
F-stat: $\widehat{capacity}$	8.571***	4.075**
F-stat: $ba2tot \times \widehat{capacity}$	0.633	1.795

Notes: Clustered standard errors (country level) in parentheses. Endogenous variables: ba2tot, capacity, ba2tot_cap. Instruments: s_usa, milpercap, iv_int_usa. First-stage F-statistics reported for each endogenous variable. Due to weak instruments for ba2tot and ba2tot_cap ($F < 10$), second-stage estimates should be interpreted with caution. $***p < 0.001$, $**p < 0.01$, $*p < 0.05$, $\dagger p < 0.10$.

References

Abouharb, M Rodwan, Bernhard Reinsberg, and Tim Heinkelmann-Wild. 2026. "The Scapegoating Hypothesis Revisited: Unpacking Blame Attribution toward the International Monetary Fund." *Global Studies Quarterly* 6 (1):ksag010.

Alesina, Alberto, Davide Furceri, Jonathan D Ostry, Chris Papageorgiou, and Dennis P Quinn. 2024. "Structural reforms and elections: Evidence from a world-wide new dataset." *Journal of the European Economic Association* 22 (4):1936-1980.

Apeti, Ablam Estel, and Kwamivi Gomado. 2023. *IMF conditionality and structural reforms: Evidence from developing countries*: WIDER Working Paper.

Barro, Robert J., and Jong-Wha Lee. 2005. "IMF programs: Who is chosen and what are the effects?" *Journal of Monetary Economics* 52 (7):1245-1269. doi: https://doi.org/10.1016/j.jmoneco.2005.04.003.

Beazer, Quintin H, and Byungwon Woo. 2016. "IMF conditionality, government partisanship, and the progress of economic reforms." *American Journal of Political Science* 60 (2):304-321.

Biglaiser, Glen, and Karl DeRouen Jr. 2011. "How soon is now? The effects of the IMF on economic reforms in Latin America." *The review of international organizations* 6 (2):189-213.

Boockmann, Bernhard, and Axel Dreher. 2003. "The contribution of the IMF and the World Bank to economic freedom." *European Journal of Political Economy* 19 (3):633-649.

Cohn, Theodore H. 2016. *Global political economy: Theory and practice*. 7 ed: Routledge.

Crotty, James, and Kang-Kook Lee. 2002. "A political-economic analysis of the failure of neo-liberal restructuring in post-crisis Korea." *Cambridge Journal of Economics* 26 (5):667-678.

Demir, Firat. 2022. "IMF conditionality, export structure and economic complexity:The ineffectiveness of structural adjustment programs." *Journal of Comparative Economics* 50 (3):750-767. doi: https://doi.org/10.1016/j.jce.2022.04.003.

Dollar, David, and Jakob Svensson. 2000. "What Explains the Success or Failure of Structural Adjustment Programmes?" *The Economic Journal* 110 (466):894-917.

Drazen, Allan. 2002. "Conditionality and ownership in IMF lending: a political economy approach." *IMF Staff Papers* 49 (Suppl 1):36-67.

Dreher, Axel. 2003. "The influence of elections on IMF programme interruptions." *The Journal of Development Studies* 39 (6):101-120. doi: 10.1080/0022038032331293597.

Dreher, Axel, and Sarah M Rupprecht. 2007. "IMF programs and reforms—inhibition or encouragement?" *Economics Letters* 95 (3):320-326.

Evans, Peter. 1995. *Embedded Autonomy States and Industrial Transformation*: Princeton University Press.

Featherstone, Kevin. 2011. "The JCMS Annual Lecture: The Greek Sovereign Debt Crisis and EMU: A Failing State in a Skewed Regime." *JCMS: Journal of Common Market Studies* 49 (2):193-217. doi: https://doi.org/10.1111/j.1468-5965.2010.02139.x.

Giuliano, Paola, Prachi Mishra, and Antonio Spilimbergo. 2013. "Democracy and Reforms: Evidence from a New Dataset." *American Economic Journal: Macroeconomics* 5 (4):179-204.

Haggard, Stephan, and Robert Kaufman. 1989. "The Politics of Stabilization and Structural Adjustment." In *Developing Country Debt and Economic Performance, Volume 1: The International Financial System*, 209-254. University of Chicago Press.

Haggard, Stephan, and Robert R. Kaufman. 1992. "INTRODUCTION Institutions and Economie Adjustment." In *The Politics of Economic Adjustment*, edited by Stephan Haggard and Robert R. Kaufman, 3-38. Princeton University Press.

Hanson, Jonathan K, and Rachel Sigman. 2021. "Leviathan's latent dimensions: Measuring state capacity for comparative political research." *The Journal of Politics* 83 (4):1495-1510.

Ito, Takatoshi. 2007. "Asian currency crisis and the International Monetary Fund, 10 years later: Overview." *Asian Economic Policy Review* 2 (1):16-49.

Kentikelenis, Alexander E, Thomas H Stubbs, and Lawrence P King. 2016. "IMF conditionality and development policy space, 1985–2014." *Review of International Political Economy* 23 (4):543-582.

Kentikelenis, Alexandros, and Thomas Stubbs. 2023. *A thousand cuts: Social protection in the age of austerity*: Oxford University Press.

Kingstone, Peter, and Joseph Young. 2009. "Partisanship and policy choice: What's left for the left in Latin America?" *Political Research Quarterly* 62 (1):29-41.

Knutsen, Carl Henrik. 2013. "Democracy, State Capacity, and Economic Growth." *World Development* 43:1-18. doi: https://doi.org/10.1016/j.worlddev.2012.10.014.

Konte, Maty, Wilfried A. Kouamé, and Emmanuel B. Mensah. 2022. "Structural Reforms and Labor Productivity Growth in Developing Countries: Intra or Inter-Reallocation Channel?" *The World Bank Economic Review* 36 (3):646-669. doi: 10.1093/wber/lhac002.

Lee, Yeonho. 2013. *Unequal Development and Democracy: Korean Political Economy*. Seoul: 박영사.

Lim, Wonhyuk, and Joon-Ho Hahm. 2006. "Turning a crisis into an opportunity: The political economy of Korea's financial sector reform." *From crisis to opportunity: Financial globalization and East Asian capitalism*:85-121.

Mann, Michael. 1984. "The autonomous power of the state: its origins, mechanisms and results." *European Journal of Sociology/Archives européennes de sociologie* 25 (2):185-213.

Mavridakis, Theofanis , Dimitrios Dovas, and Spiridoula Bravou. 2018. "Failure Factors of the Economic Adjustment Programme for Greece." Economy, Finance and Business in Southeastern and Central Europe, Cham, 2018//.

Park, SangJun. 2017. "The Rise and Limitation of SYRIZA: Focused on the Critique of Representative Democracy." *EU 연구* (47):169-204.

Prati, Alessandro, Massimiliano Gaetano Onorato, and Chris Papageorgiou. 2013. "Which Reforms Work and under What Institutional Environment? Evidence from a New Data Set on Structural Reforms." *The Review of Economics and Statistics* 95 (3):946-968. doi: 10.1162/REST_a_00307.

Robinson, James A, and Daron Acemoglu. 2012. *Why nations fail: The origins of power, prosperity and poverty*: Random House.

Skocpol, Theda. 1985. "Bringing the State Back In: Strategies of Analysis in Current Research." In *Bringing the State Back In*, edited by Peter B. Evans, Dietrich Rueschemeyer and Theda Skocpol, 3-38. Cambridge: Cambridge University Press.

Soifer, Hillel. 2008. "State Infrastructural Power: Approaches to Conceptualization and Measurement." *Studies in Comparative International Development* 43 (3):231-251. doi: 10.1007/s12116-008-9028-6.

Stallings, Barbara. 1992. "CHAPTER ONE. International Influence on Economic Policy: Debt, Stabilization, and Structural Reform." In *The Politics of Economic Adjustment*, edited by Haggard Stephan and R. Kaufman Robert. Princeton: Princeton University Press.

Stubbs, Thomas, Bernhard Reinsberg, Alexander Kentikelenis, and Lawrence King. 2020. "How to evaluate the effects of IMF conditionality." *The Review of International Organizations* 15 (1):29-73. doi: 10.1007/s11558-018-9332-5.

Tilly, Charles. 1992. *Coercion, capital, and European states, AD 990-1992*. Vol. 19: Blackwell Oxford.

Tourtouri, Myrto, Dimitris Pavlopoulos, and Christos Papatheodorou. 2020. "Assessing the impact of liberalisation policies on the Greek labour market: an insider–experts' view from the perspective of the varieties of liberalisation." *Industrial Relations Journal* 51 (6):517-535.

Vreeland, James Raymond. 2003. *The IMF and economic development*: Cambridge University Press.

Weber, M. 1978. *Economy and Society: An Outline of Interpretive Sociology*. Edited by G. Roth and C. Wittich: University of California Press.

Williamson, John. 1990. "What Washington means by policy reform." In *Modern political economy and Latin America*. Routledge.

Woo, Byungwon. 2013. "Conditional on Conditionality: IMF Program Design and Foreign Direct Investment." *International Interactions* 39 (3):292-315. doi: 10.1080/03050629.2013.782303.

Woods, Ngaire. 2006. *The globalizers: the IMF, the World Bank, and their borrowers*: Cornell University Press.

Yeon Ho, Lee. 2009. "The Institutionalist Political Economic Developmental State Theory and Democracy." *21st centry Political Science Review* 19 (2):99-120.

Yeonho, Lee, Lim YooJin, and Chung Sukkyu. 2002. "The Rise of the Regulatory State and Government-Business Relations in South Korea." *Korean Political Science Review* 36 (3):199-222.